

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Build the opening structure on your own instead of waiting to be led. Restate the objective, then lay out profit = revenue (price × volume) − costs (COGS inputs, labor, overhead), add a check on competitor pricing, and state a first hypothesis such as 'revenue grew, so unit costs likely outpaced prices — I'd start with COGS.' Your analysis and synthesis were strong once the case was set up, but you needed repeated hints to get there.

Rubric Scores

Problem Structuring

needs work

What needs work

The candidate could not build a structure independently and needed repeated interviewer assists, including a Level 2 narrowing hint, to reach revenue minus costs. Once prompted, though, the candidate split costs into variable and fixed groups and decomposed revenue into price times volume, which are the right building blocks.

- “hmm, I'm not sure. I don't really know where to start.”
- “I guess revenue and costs? But I don't know what to do with that, sorry.”
- “Beans and milk and cups go up with each cup. Rent doesn't. So those two groups, I guess.”
- “Price times number of cups sold, I guess.”

When asked to assemble the pieces into one framework, the candidate declined and asked the interviewer to choose the branch. After being pushed, the candidate gave a reasoned prioritization of the variable-cost branch, tied to the facts of the case.

- “hmm, I can't really pull it together. Could you tell me which one to look at?”
- “Maybe the costs that go up with each cup? Since revenue grew but profit didn't, that feels like where it's leaking.”

The first grouping attempt, store versus corporate costs, does not explain margin behavior. The candidate never restated the objective or linked the structure to the CEO's decision.

- “Maybe store stuff versus corporate stuff? Honestly I'm not sure which to look at first.”

Missed opportunities

Turn 1, right after the prompt, the candidate answered “I'm not sure what you mean — do you want me to guess why profits went down?”

A great answer: “Our goal is to find why margin fell from 24% to 6% while revenue grew 15%, and how to reverse it. I'd break profit into revenue and costs. Revenue is price times volume, plus mix. Costs split into COGS (beans, dairy, packaging, food), labor, and overhead/rent. Since revenue grew, my hypothesis is that unit costs rose faster than prices, most likely in COGS, so I'd start there. I'd also check whether competitors are seeing the same squeeze and whether we have pricing power.”

Turn 19, when asked to put the full structure together and the candidate said “I can't really pull it together.”

A great answer: “So there are two branches. Revenue: price × cups sold. Costs: variable per-cup inputs and fixed costs like rent, labor, and overhead. Revenue is up, so I'd start with variable costs as a share of revenue and check whether menu prices kept pace.”

Quantitative & Analytical Rigor

strong

What went well

The candidate correctly converted shares of COGS into points of revenue (10.5 and 31.5), applied each inflation rate, and reconciled exactly to today's 58%. However, the candidate did not take the next step of splitting the 16-point increase into its bean and non-bean contributions (~4.2 vs ~11.8 points), even though those inputs were already on the table.

- “Two years ago COGS was 42% of revenue; beans were 25% of that, so 10.5 points of revenue, and other inputs 75%, so 31.5 points.”
- “Add them: $14.7 + 43.3 = 58$ points. That's exactly today's 58%.”
- “Beans up 40%: $10.5 \times 1.4 = 14.7$. Other inputs up 37.5%: $31.5 \times 1.375 = 43.3$.”

The candidate set up the price-sizing equation before solving it, solved it correctly (~24%), and sanity-checked the result against a real-world latte price.

- “To get back to a 24% margin: $(100 + 100p - 94) / (100 + 100p) = 0.24$ ”

| *"A 24% price hike feels too steep to push through at once — that's a \$4 latte going to \$5."*

The candidate separated margin compression at today's scale (\$77M) from the absolute growth in COGS spend (\$103M), noting that part of the latter simply reflects selling more cups.

| *"That's \$103M more in absolute dollars — but part of that is just selling more cups, not inflation."*

| *"So \$77M is the right number for "margin compression at today's scale.""*

What needs work

The price sizing assumes volume holds. The candidate flagged that assumption but never quantified how much volume could be lost before a price increase stops paying off.

| *"If I raise price p% and volume holds, costs stay flat in dollars at 94."*

Missed opportunities

Turn 27, after reconciling to 58%.

| A great answer: "Beans went from 10.5 to 14.7, so they add only about 4.2 points. Other inputs went from 31.5 to 43.3, adding about 11.8 points. Roughly three-quarters of the COGS problem is dairy, packaging, and food, not beans."

Turn 33, when sizing a phased increase.

| A great answer: "At a 10% price increase, contribution per cup rises a lot, so I can estimate how much volume we could lose and still come out ahead. That breakeven tells us how much risk the test stores need to rule out."

Data & Exhibit Interpretation

strong

What went well

The candidate read all three cost lines systematically and isolated COGS as 16 of the 18 lost margin points.

| *"Labor's flat and overhead only moved 2 points, so COGS is almost all of the decline — 24% to 6% is 18 points, and 16 of those are COGS."*

The candidate linked flat menu prices to the cost increase and laid out alternative hypotheses before asking for the next cut of data.

| *"So either the stuff they're buying got more expensive, or they're using more of it per cup, or wasting it. Do we know what's inside that COGS line — like how much is beans versus milk versus pastries?"*

The candidate tested the input-price data against the hypotheses and ruled out waste and portion size. The conclusion stopped at 'across the board' inflation, though, without stating that beans explain only about a quarter of the jump and that non-bean inputs are the bigger lever.

| *"So input price inflation across the board explains the whole COGS jump — it's not waste or portion sizes."*

| *"So input price inflation across the board explains the whole COGS jump"*

Missed opportunities

Turn 27, when interpreting the COGS breakdown.

| A great answer: "The headline 40% bean spike is only about 4 of the 16 points. The other ~12 come from dairy, packaging, and food. So any cost response has to go well beyond coffee beans."

Business Judgment & Insight

strong

What went well

The candidate recommended a phased, store-tested price increase with a clear success metric, which is practical and manages the main risk. However, the increase was treated as uniform across the menu, without varying it by product where demand is less price-sensitive.

| *"Pick maybe 20 stores across different markets, do 10% in some and something steeper in others, run it a few months and compare transaction counts against the stores that didn't change."*

| *"So I'd probably phase it: something like 8–10% now, see what happens to transaction counts"*

The candidate used commercial reasoning to reject cost-cutting: labor is flat, and cutting baristas would erode the premium service customers pay for.

| *"cutting baristas in a specialty chain hurts the service people are paying a premium for."*

The candidate raised realistic factors to check before deciding, including competitor pricing and how much revenue comes from loyal customers.

| *"whether competitors have already raised their prices, because if they have, we're under-priced and the risk is lower."*

What needs work

The candidate's own math shows non-bean inputs drive most of the COGS increase, yet the procurement lever named was only coffee supplier contracts.

| *"maybe locking in longer contracts with coffee suppliers so they're not exposed to the spot price."*

Missed opportunities

Turn 29, brainstorming levers after showing that other inputs rose 37.5%.

A great answer: "Since dairy, packaging, and food are about three-quarters of the cost increase, I'd renegotiate across all inputs, not just beans, using our 200-store scale. I'd also concentrate price increases on specialty drinks where customers are least price-sensitive."

Creativity & Brainstorming

adequate

What needs work

The candidate later sequenced the ideas in the recommendation, but the brainstorm itself was a flat list with no organizing buckets (for example, revenue vs. cost levers, or short-term vs. structural).

"Raising prices seems like the obvious one, since they haven't moved in two years and competitors are probably facing the same bean costs."

"Order I'd go in: first, a price increase, since it's fastest and prices haven't moved in two years."

The candidate produced several distinct levers: pricing, supplier contracts, menu mix and sizes, and overhead. Still, most were conventional, and the brainstorm stopped at four levers with no clearly non-obvious move.

"And overhead crept up 2 points, which isn't the main story but it's still a few million dollars."

"Could also look at the menu mix — push drinks that use less of the expensive inputs, or smaller sizes."

Missed opportunities

Turn 28, when asked "what else could Brew & Bean do to reverse this decline?"

A great answer: "I'd split this into revenue levers and cost levers. Revenue: targeted price increases, upselling higher-margin items, and loyalty-program pricing. Cost: procurement across all inputs using our scale, recipe and portion engineering, and a cheaper house blend for value-focused stores. I'd prioritize pricing and procurement because together they address most of the 16 points."

Synthesis & Recommendation

strong

What went well

The candidate led with a clear, answer-first recommendation and the root cause behind it.

"My recommendation is that Brew & Bean raise menu prices, because the whole problem is input cost inflation they never passed through."

The candidate backed the recommendation with evidence from the analysis, gave a sequenced plan, and named the risk and a mitigation. However, the recommendation did not size the price increase or state a target margin until the interviewer asked.

"The math: COGS went from 42% to 58% of revenue, which is 16 of the 18 points of margin lost."

"Risk is volume — if customers leave, a price rise could backfire. I'd test it in a handful of stores first and watch transaction counts, not just revenue."

"Order I'd go in: first, a price increase, since it's fastest and prices haven't moved in two years."

Missed opportunities

Turn 31, the final recommendation.

A great answer: "Raise prices in phases, about 8–10% now, toward the roughly 24% needed to restore margin. Pair that with procurement on all inputs, then trim overhead creep. We'll test in 20 stores and track transaction counts."

Communication & Delivery

adequate

What went well

The candidate built on interviewer cues, such as picking up the volume challenge and proposing a test design.

"I'd test it. Pick maybe 20 stores across different markets"

What needs work

The first nine turns were hesitant and apologetic, with no structure or hypothesis, which stalled the opening. In the second half, the candidate shifted to answer-first communication with clear signposting and step-by-step narration.

"I'm stuck, sorry. Could you maybe point me at where to look?"

"hmm. I know profit is money coming in minus money going out, but past that I'm stuck."

"Order I'd go in: first, a price increase, since it's fastest and prices haven't moved in two years."

The candidate never stated a structure before diving into detail. Phrasing early on was tentative ('I guess') rather than hypothesis-driven.

"Price times number of cups sold, I guess. So maybe they're selling more but charging less?"

Missed opportunities

Turn 3, after the interviewer re-explained the ask.

A great answer: "Let me take 30 seconds to structure this. ... I'll look at three areas: revenue, cost structure, and market context. My starting hypothesis is that costs grew faster than prices."

Pushback, Composure & Case Leadership

adequate

What went well

The candidate held the position against the CEO's challenge with explicit, numbers-based reasoning, without becoming defensive.

"Absorbing it is what they've already been doing for two years, and that's how 24% turned into 6%."

"There's just no \$77M hiding in there."

When the \$77M figure was probed, the candidate refined it and volunteered a caveat about revenue growth.

"One caveat I should flag: those are percentages of revenue, and revenue grew 15% over the period."

What needs work

In the opening, the candidate was passive and repeatedly asked the interviewer to lead, needing a Level 1 anchor and a Level 2 narrowing hint before making progress. Once given, those price-times-volume and variable-cost hints were absorbed and reused to drive the data requests.

"I'm stuck, sorry. Could you maybe point me at where to look?"

"Could you tell me which one to look at?"

"Could I see the cost breakdown as a percent of revenue, now versus two years ago? And also, did menu prices change over those two years?"

Missed opportunities

Turn 5, when stuck at the opening.

A great answer: "Let me ask a few clarifying questions first. Did prices change, and how did cost lines move as a share of revenue? Then I'll propose a structure based on the answers rather than wait for direction."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 0:32

I'm not sure what you mean — do you want me to guess why profits went down?

Interviewer · 0:34

No, not a guess. Lay out how you would structure the problem, meaning the areas you'd investigate to find the root cause. Take a minute if you need it, then walk me through your approach.

Candidate · 1:09

hmm, I'm not sure. I don't really know where to start.

Interviewer · 1:11

Take your time. The question on the table is how you would break this profit decline into parts you could investigate, and you're welcome to ask me clarifying questions about the business first.

Candidate · 1:37

I'm stuck, sorry. Could you maybe point me at where to look?

Interviewer · 1:39

No need to apologize, but I can't hand you the structure. Start with what profit is made of, and tell me how you'd break it down into its basic components.

Candidate · 2:07

hmm. I know profit is money coming in minus money going out, but past that I'm stuck.

Interviewer · 2:09

Okay, that's the right starting point. Let's simplify: revenue is up, yet margin fell sharply, so what are the two sides of that equation you'd need to look at?

Candidate · 2:28

I guess revenue and costs? But I don't know what to do with that, sorry.

Interviewer · 2:30

Okay. To your question on the data: Total revenue is \$480M a year. I'll come to that data shortly. Take costs first: what kinds of costs would a coffee chain like Brew & Bean have, and how would you group them?

Candidate · 2:51

Coffee beans and milk, cups, pastries. Then rent for 200 stores, baristas' wages, utilities, equipment, marketing, maybe corporate overhead.

Interviewer · 2:53

Okay. You've listed a lot of items there, so how would you group them into a few categories, and which category would you want to look at first?

Candidate · 3:12

Maybe store stuff versus corporate stuff? Honestly I'm not sure which to look at first.

Interviewer · 3:14

Go on. Think about how the costs you listed behave: some rise with every cup sold, others don't. How would you group them on that basis, and what would you want to check on the revenue side too?

Candidate · 3:41

Beans and milk and cups go up with each cup. Rent doesn't. So those two groups, I guess. On revenue side I don't really know what to check.

Interviewer · 3:44

Understood. You have costs that scale with each cup and costs that don't. For revenue, think about what multiplies together to give \$480M, and tell me what pieces you'd check.

Candidate · 4:03

Price times number of cups sold, I guess. So maybe they're selling more but charging less?

Interviewer · 4:05

Okay. Put it together for me: lay out the full structure you'd use, revenue pieces and cost groups, and say which branch you'd look at first and why.

Candidate · 4:24

hmm, I can't really pull it together. Could you tell me which one to look at?

Interviewer · 4:26

I won't pick it for you. You have revenue as price times volume, and costs in two groups. Which of those would you check first, and what would make you choose it?

Candidate · 4:57

Maybe the costs that go up with each cup? Since revenue grew but profit didn't, that feels like where it's leaking.

Interviewer · 4:59

That's a reasoned choice. Which specific data would you ask for first to test it?

Candidate · 5:25

Could I see the cost breakdown as a percent of revenue, now versus two years ago? And also, did menu prices change over those two years?

Interviewer · 5:28

I have the cost breakdown for today, but not for two years ago. The menu price change I can give you. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Menu prices have not changed in two years.

Candidate · 6:44

So COGS jumped 16 points, 42% to 58%. On \$480M that's about \$77M of extra cost right there. Labor's flat and overhead only moved 2 points, so COGS is almost all of the decline — 24% to 6% is 18 points, and 16 of those are COGS. And since menu prices haven't moved in two years, they haven't passed any of it along. So either the stuff they're buying got more expensive, or they're using more of it per cup, or wasting it. Do we know what's inside that COGS line — like how much is beans versus milk versus pastries?

Interviewer · 6:47

other inputs breakdown. I'll show the exhibit too and ask for interpretation. Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 8:01

Let me check if that explains it. Two years ago COGS was 42% of revenue; beans were 25% of that, so 10.5 points of revenue, and other inputs 75%, so 31.5 points.

Beans up 40%: $10.5 \times 1.4 = 14.7$. Other inputs up 37.5%: $31.5 \times 1.375 = 43.3$. Add them: $14.7 + 43.3 = 58$ points. That's exactly today's 58%.

So input price inflation across the board explains the whole COGS jump — it's not waste or portion sizes. And prices haven't moved at all in two years, so the chain absorbed every bit of it.

Interviewer · 8:02

Understood. Beyond what we've discussed, what else could Brew & Bean do to reverse this decline?

Candidate · 9:28

Raising prices seems like the obvious one, since they haven't moved in two years and competitors are probably facing the same bean costs. Beyond that — maybe locking in longer contracts with coffee suppliers so they're not exposed to the spot price. They buy for 200 stores, so there should be some buying power there.

Could also look at the menu mix — push drinks that use less of the expensive inputs, or smaller sizes. And overhead crept up 2 points, which isn't the main story but it's still a few million dollars.

Honestly I'd want to know how much they'd lose in customers if they raised prices, but I don't think I have that.

Interviewer · 9:30

Okay. Now give me your recommendation to the CEO: what should Brew & Bean do, in what order, and what would you want to watch for?

Candidate · 11:00

My recommendation is that Brew & Bean raise menu prices, because the whole problem is input cost inflation they never passed through.

The math: COGS went from 42% to 58% of revenue, which is 16 of the 18 points of margin lost. Beans up 40% and other inputs up 37.5% account for that almost exactly. Labor is flat and overhead only moved 2 points.

Order I'd go in: first, a price increase, since it's fastest and prices haven't moved in two years. Second, lock in supplier contracts to stop the bleeding from here. Third, trim the overhead creep and look at menu mix.

Risk is volume — if customers leave, a price rise could backfire. I'd test it in a handful of stores first and watch transaction counts, not just revenue.

Interviewer · 11:02

You recommend raising prices. How large an increase would you take to the CEO, and how would you size it?

Candidate · 12:33

Let me size it. Take \$100 of revenue today: COGS 58, labor 22, overhead 14, profit 6. If I raise price $p\%$ and volume holds, costs stay flat in dollars at 94.

To get back to a 24% margin: $(100 + 100p - 94) / (100 + 100p) = 0.24$

$6 + 100p = 24 + 24p$

$76p = 18$, so $p \approx 24\%$.

A 24% price hike feels too steep to push through at once — that's a \$4 latte going to \$5. So I'd probably phase it: something like 8–10% now, see what happens to transaction counts, then a second step if volume holds. That 10% alone gets profit from 6 to about 16 on 110 of revenue, so roughly a 15% margin.

I'd also want them to not rely on price alone — supplier contracts and mix need to carry some of the rest.

Interviewer · 12:35

Okay. Your latte example assumes volume holds, and you mentioned you don't know how customers would react. How would you decide whether the phased approach is the right call versus a single larger increase?

Candidate · 14:05

I'd test it. Pick maybe 20 stores across different markets, do 10% in some and something steeper in others, run it a few months and compare transaction counts against the stores that didn't change. If volume barely moves in the steeper group, go faster everywhere; if it drops, you've only hurt a handful of stores.

A couple of things I'd want to see before deciding — whether competitors have already raised their prices, because if they have, we're under-priced and the risk is lower. And whether a lot of revenue comes from regulars or loyalty members, since those people probably tolerate a rise better than walk-ins.

Honestly, I'd lean phased just because a 24% jump all at once is the kind of thing that makes the news.

Interviewer · 14:07

The CEO pushes back: "Customers are already stretched. Why raise prices at all instead of just absorbing this and cutting costs elsewhere?" How do you respond?

Candidate · 15:37

I'd say the math doesn't leave room for it. Absorbing it is what they've already been doing for two years, and that's how 24% turned into 6%. If bean prices keep climbing, the next step is losing money.

And the other cost lines can't cover it. Labor is 22% of revenue and it's been stable — cutting baristas in a specialty chain hurts the service people are paying a premium for. Overhead is 14% and only crept up 2 points; even wiping out that entire creep gets you 2 points back out of 18. There's just no \$77M hiding in there.

The other thing I'd point out is that competitors buy the same beans, so they're facing the same pressure. If they've already raised prices, Brew & Bean isn't the one making customers stretched — it's just the one eating it.

Interviewer · 15:39

You said there's no \$77M hiding in the other cost lines. Walk me through where that \$77M comes from, and whether it's the amount that actually compressed margin.

Candidate · 17:10

The \$77M is the 16-point COGS jump applied to today's revenue: $0.16 \times \$480M = \$76.8M$. The full margin loss is 18 points, so $0.18 \times \$480M = \$86.4M$, with the extra ~\$10M from the overhead creep and rounding.

One caveat I should flag: those are percentages of revenue, and revenue grew 15% over the period. So two years ago revenue was roughly $\$480M / 1.15 \approx \$417M$, and COGS at 42% was about \$175M. Today COGS is $0.58 \times \$480M = \$278.4M$. That's \$103M more in absolute dollars — but part of that is just selling more cups, not inflation.

So \$77M is the right number for "margin compression at today's scale." It's the one that matters for sizing the price fix.

Interviewer · 17:12

That's our time. Thanks for working through this with me — your written report will follow.